EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sanchez Mira is a third class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a *visita* of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

The audit covered the accounts and operations of the Municipality of Sanchez Mira for the year 2020 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2020, were P497,222,249.12, P86,777,255.59 and P410,444,993.53 respectively with an increase of 73.63%, 19.05% and 92.26%respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P147,279,611.95 and P118,361,955.26, which increased by 18.02% and 14.56%respectively from last year's figures.

Particulars	2020	2019	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	497,222,249.12	286,373,753.79	210,848,495.33	73.63%
Liabilities	86,777,255.59	72,891,483.71	13,885,771.88	19.05%
Govt. Equity	410,444,993.53	213,482,270.08	196,962,723.45	92.26%
Financial Performance				
Income	147,279,611.95	124,793,423.65	22,486,188.30	18.02%
Expense	118,361,955.26	103,320,086.59	15,041,868.67	14.56%

Appropriations, Allotments and Obligation				
Appropriations	153,070,582.36	144,835,818.59	8,234,763.77	5.69%
Allotments	153,070,582.36	144,835,818.59	8,234,763.77	5.69%
Obligations	133,578,260.02	117,606,861.82	15,971,398.20	13.58%

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified Opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P349,987,180.65 (net of depreciation) could not be ascertained due to failure of Management to undertake one-time cleansing of the PPE account. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

4. Summary of Audit Observations and Recommendations

a. One-time cleansing of Property, Plant and Equipment (PPE) account balances was not undertaken contrary to COA Circular 2020-006 dated January 31, 2020 due to non-conduct of physical count of PPE, thus, the accuracy of the "PPE" account in the financial statements amounting to P349,987,180.65 cannot be verified.

We recommended that Management:

i. Pursuant to COA Circular 2020-006 dated January 31, 2020, create an Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station;

ii. Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records;

iii. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

iv. After the inventory taking, direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE pursuant to the Section 269 of the GAM for LGUs.

b. Procurements of various supplies, drugs and medicines related to COVID 19 response amounting to P19,476,240.01 were recognized as outright expenses instead of recording in the appropriate inventory accounts contrary to pertinent provisions of Government Accounting Manual for Local Government Units, hence safeguards thereon were not adequately undertaken.

We recommended, pursuant to Sections 182, 187 and 189 Volume 1 of the Government Accounting Manual for LGUs to set up the proper safeguards on various supplies, drugs and medicines that:

i. The General Services Officer maintain stock cards for inventories received, issue Requisition and Issue Slip for the issuance of inventories and prepare and submit to the Municipal Accountant the required Report of Materials and Supplies Issued five days after the end of the month.

ii. The Municipal Accountant maintain Supplies Ledger Card for each specific type of Inventories.

iii. The Municipal Mayor require periodic physical inventory of supplies and materials. The physical count of unissued inventory items by type shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI).

c. Inter-agency accounts receivable and payables recorded in the books of accounts amounting to P869,884.26 remained dormant and long outstanding for more than ten (10) years contrary to COA Circular No. 2016-005 dated December 19, 2016.

We recommended that Management request for write-off the dormant and long outstanding accounts that remained for more than ten (10) years in accordance with COA Circular No. 2016-005 dated December 19, 2016, for fair presentation of accounts in the financial statements.

5. Summary of Total Suspensions, Disallowances, and Charges

There are no issued and unsettled audit suspension and disallowance as at December 31, 2020.

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the eight (8) audit recommendations in the prior year's report, seven (7) were fully implemented, and one (1) was partially implemented as at year end.